

The Dow Chemical Company, Du Pont, and International Business Machines are good examples of this type of growth stock. In Chapter One I mentioned the totally insignificant return available from high-grade bonds during the ten-year period 1946 to 1956. At the close of this period, each of these three stocks—Dow, Du Pont, and IBM—had a value approximately five times what it sold for at the beginning of the period. Nor during these ten years did their holders suffer from the standpoint of current income. Dow, for example, is almost notorious for the low rate of return it customarily pays on current market price. Yet the investor who bought Dow at the start of this period would at the end of it be doing well from the standpoint of current income. Although Dow at the time of purchase would only have provided a return of about 2½ per cent (this was a period when yields on all stocks were high), just ten years later it had increased dividends or split stock so many times that the investor would have been enjoying a dividend return of between 8 and 9 per cent on the price of his investment ten years earlier. More significantly, the ten-year period covered is not an unusual one for companies of the caliber of these three. Decade after decade, with only occasional interruptions from such one-time influences as the great 1929–1932 bear market or World War II, these stocks have given almost fabulous performance.

At the other end of the scale, also of extreme interest for the right sort of long-range investment, are small and frequently young companies which may only have total sales of from one to six or seven million dollars per annum, but which also have products that might bring a sensational future. To qualify under the fifteen points already described, such companies will usually have a combination of outstanding business management and equally capable scientific personnel who are pioneering in a new or economically promising field. The Ampex Corporation at the time the stock was first offered to the public in 1953 might serve as a good example of this type of company. Within four years the value of this stock had increased over seven-fold.

Between these two extremes lie a host of other promising growth companies varying all the way from those as young and risky as was Ampex in 1953 to those as strong and well entrenched as are Dow, Du Pont, and IBM today. Assuming it is time to buy at all (see the next chapter), which type should the investor buy?